

PRA Glossary - E

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earned premiums

means the premiums relating to the risk covered by a firm during a specified time period.

EBA

means the European Banking Authority.

EEA State

has the meaning given in the Interpretation Act 1978 and, where the context requires, includes references to Gibraltar as appropriate.

effecting contracts of insurance

means the regulated activities specified in article 10(1) of the Regulated Activities Order (Effecting and carrying out contracts of insurance).

EIOPA

means the European Insurance and Occupational Pensions Authority established in accordance with Regulation (EU) No. 1094/2010 of the European Parliament and of the Council of 24 November 2010.

Electronic Money Regulations

means the Electronic Money Regulations 2011 (SI 2011/99).

eligible counterparty

has the meaning given in the FCA Handbook as amended from time to time for the purposes other than for the purposes of the part of the FCA Handbook in High Level Standards that has the title Principles for Businesses.

eligible deposit

has the meaning given in Depositor Protection 2.

eligible liabilities instruments

has the same meaning as in paragraph 2.3 of the Bank of England's Statement of Policy entitled 'The Bank of England's approach to setting a minimum requirement for own funds and eligible liabilities (MREL)' published by the Bank of England on 15 July 2025.

eligible liabilities items

means MREL eligible liabilities as defined in paragraph 2.3 of the Bank of England's Statement of Policy entitled 'The Bank of England's approach to setting a minimum requirement for own funds and eligible liabilities (MREL)' published by the Bank of England on 15 July 2025.

eligible own funds

means: (1) as to compliance with a UK Solvency II firm's SCR, the aggregate of the firm's: (a) Tier 1 own funds; and (b) eligible Tier 2 own funds; and (c) eligible Tier 3 own funds; and (2) as to compliance with a UK Solvency II firm's MCR, the aggregate of the firm's: (a) Tier 1 own funds; and (b) eligible Tier 2 own funds; and (3) as to compliance by a composite firm with the notional life MCR, the aggregate of the firm's: (a) Tier 1 own funds; and (b) Tier 2 basic own funds that satisfy the limits in Own Funds 4.2, 4A.2 and 4A.3, as if references to the MCR in those provisions were references to the notional life MCR; and (4) as to compliance by a composite firm with the notional non-life MCR, the aggregate of the firm's: (a) Tier 1 own funds; and (b) Tier 2 basic own funds that satisfy the limits in Own Funds 4.2, 4A.2 and 4A.3, as if references to the MCR in those provisions were references to the notional non-life MCR. (5) deleted [deleted]

eligible Tier 2 own funds

means: (1) as to compliance with a UK Solvency II firm's SCR, the UK Solvency II firm's Tier 2 own funds that satisfy the limits set out in Own Funds 4.1(1), 4A.1(1), 4A.1(3) and 4A.3; and (2) as to compliance with a UK Solvency II firm's MCR, the firm's Tier 2 basic own funds that satisfy the limits in Own Funds 4.2, 4A.2 and 4A.3.

eligible Tier 3 own funds

means, as to compliance with a UK Solvency II firm's SCR, the firm's Tier 3 own funds that satisfy the limits set out in Own Funds 4.1(2) and 4A.1(2).

employee

means an individual: (1) who is employed or appointed by a person in connection with that person's business, whether under a contract of service or for services or otherwise; or (2) whose services, under an arrangement between that person and a third party, are placed at the disposal and under the control of that person.

employers' liability

means a contract of insurance against risks of the persons insured incurring liabilities to their employees.

equity share capital

means issued share capital excluding any part of that capital which, neither as respects dividends nor as respects capital, carries any right to participate beyond a specified amount in a distribution.

equivalent securities

means securities issued by the same issuer being of an identical type and having the same nominal value, description and amount.

established surplus

means an excess of assets representing the whole or a particular part of the long-term insurance fund or funds over the liabilities, or a particular part of the liabilities of the insurer attributable to that business as shown by an actuarial investigation.

establishing, operating or winding up a personal pension scheme

means the regulated activity, specified in article 52(b) of the Regulated Activities Order (Establishing etc. a pension scheme).

establishing, operating or winding up a stakeholder pension scheme

means the regulated activity, specified in article 52 (a) of the Regulated Activities Order (Establishing etc. a pension scheme).

establishing, operating or winding-up a collective investment scheme

means the regulated activity specified in article or 51ZE of the Regulated Activities Order (Establishing etc a collective investment scheme).

EU

has the meaning given in Schedule 1 to the Interpretation Act 1978.

EU directive

This defined term is effective from 23:00 on 31/12/2020. has the meaning given in section 20(1) of the European Union (Withdrawal) Act 2018.

EU-derived domestic legislation

This defined term is effective from 23:00 on 31/12/2020. has the meaning given in section 2(2) of the European Union (Withdrawal) Act 2018.

European Economic Area

means the area established by the Agreement on the European Economic Area signed at Oporto on 2 May 1992, as it has effect for the time being and which consists of the EEA States.

exceptional adverse situation

means situations where the financial situation of a firm representing a significant share of the market or the affected

lines of business is seriously or adversely affected by one or more of the following: (1) a fall in financial markets which is unforeseen, sharp and steep; (2) a persistent low interest rate environment; (3) a high impact catastrophic event.

Excluded Activities and Prohibitions Order

means the Financial Services and Markets Act 2000 (Excluded Activities and Prohibitions) Order 2014 (SI 2014/2080).

excluded assets

means, in relation to a with-profits fund, those assets which the firm has clearly identified in its policy documentation, PPFM, other policyholder communication or otherwise in accordance with any relevant provision of the FCA Handbook as: (1) available to cover the firm's liabilities arising from with-profits policies only in particular circumstances; and (2) not forming part of that with-profits fund.

excluded entity

means: (1) a UK Solvency II firm; (2) a third country insurance undertaking; (3) an insurance holding company; (4) a credit institution; (5) a designated investment firm; (6) a non-directive firm; and (7) where the firm is part of a consolidation group, an undertaking included within the scope of the firm's prudential consolidation on a full consolidation basis.

expense risk

means the risk of loss, or of adverse change, in the value of insurance obligations, resulting from changes in the level, trend or volatility of the expenses incurred in servicing contracts of insurance or reinsurance contracts.

explicit maximum loss potential

means the maximum economic risk transferred by the ceding undertaking to the reinsurer under a reinsurance contract.

external credit assessment institution

means a credit rating agency, or a central bank issuing credit ratings which is exempt from the application of Regulation (EC) No 1060/2009 and which is included in a list of exempt central banks published by Treasury on its website.